

in most countries. This exposure limits the volatility with which changes can be made to manipulate the appearance of an economy. The control over currency isn't as direct as some people might fear.

How does a currency's value change?

The value of all currencies is in constant fluctuation but usually within a very finite range. In the course of a day the value of the Indian rupee rarely fluctuates beyond tens of paises and is the general reflection of the impact of demand and supply on the currency due to ongoing trade. The changes in value of a currency brought on by these trade or market forces is considered completely natural and fair. The best means for a currency to remain valuable is to ensure that other nations require the domestic currency to make trade.

A simple example is as follows - an Indian wants to buy a car from America. To do so she will have to make the payment in US dollars since no American car company will accept Indian rupees (since no



Money is surely man's best friend, right?

one sells anything in America in exchange for Indian rupees). In order to obtain the dollar the Indian will trade her rupees for dollars from a currency exchange and make the payment. This increase in the demand for the dollar will make it stronger and increase its value. However, if an American wants to procure the services of Shah Rukh Khan, she will similarly have to trade her dollars for rupees, which in turn would increase the value of the rupee. As long as the demand for American goods outweighs Indian goods between the two countries, the rupee will never be as strong as the dollar. But if suddenly India is selling more goods to America than buying from America, the Indian rupee will get stronger and more valuable. This fluctuation in the trade between not just two nations, but many nations in various permutations and combinations in an ongoing non-stop flow causes the currency's value to change. The simplest way for a nation to positively affect the value of its currency is to increase its demand by exporting more goods and services to other nations.